

EQUITY RESEARCH

ADVANCED MICRO DEVICES, INC.

AMD | Technology

Rating: Outperform

Current: \$347.80 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$567.06B	ROE	6.88%
P/E (Fwd)	80.54	Dividend Yield	0.00%
P/B Ratio	5.54	52W Range	\$91.87 - \$352.99

Investment Thesis

AMD demonstrates robust top-line growth with a projected 20.5% revenue CAGR through 2027, driven by improving contribution margins and strong performance in high-growth segments. Despite near-term EBITDA margin compression and elevated valuation multiples versus peers, forward estimates indicate margin expansion and earnings recovery. The company is well-positioned to capitalize on secular semiconductor demand, though it trades at a premium reflecting high investor expectations.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company specializing in the design and production of high-performance computing, graphics, and visualization technologies. AMD's business model centers on developing advanced processor and graphics solutions for a diverse set of markets including data centers, PCs, gaming consoles, and embedded systems. The company outsources its manufacturing to third-party foundries, allowing it to focus resources on R&D; and product innovation.

AMD's product portfolio includes CPUs (such as the Ryzen and EPYC lines), GPUs (Radeon series), and adaptive computing solutions (following the acquisition of Xilinx, a leader in FPGAs). These products serve cloud service providers, enterprise customers, gamers, and original equipment manufacturers (OEMs). AMD's architecture and performance innovations have positioned it as a primary alternative to Intel in the CPU market and as a competitor to Nvidia in the GPU and AI accelerator space.

In terms of market position, AMD has gained significant traction against its main rivals, Intel (INTC) and Nvidia (NVDA), especially in data center and cloud computing. The company's consistent product launches and strong adoption of its EPYC server processors have fueled its share gains in the server CPU segment. However, Nvidia maintains a dominant lead in AI and high-end GPU markets.

Financially, AMD has demonstrated robust growth, with revenues rising from \$16.4 billion in 2021 to \$22.7 billion in 2023, and projected to reach over \$40 billion by 2027, representing a 20.5% CAGR. Contribution margins have improved steadily, reaching 49.4% in 2024 and expected to surpass 52% by 2027, signaling operational leverage as sales scale. EBITDA, a key profitability metric, is forecast to more than triple from 2023 to 2027, reflecting both revenue expansion and margin improvement. Nevertheless, AMD's 2023 EBITDA (\$4.1 billion) lags behind Nvidia and Intel, though it is expected to close the gap as future projections show strong growth.

AMD's valuation remains elevated compared to peers, with high PE and EV/EBITDA multiples, indicating strong investor confidence in the company's long-term growth prospects, particularly in AI and data center markets. The company's recent performance, marked by a temporary revenue dip in 2023, appears to be recovering swiftly, with double-digit revenue growth expected in the coming years.

Overall, AMD is well-positioned in the competitive semiconductor landscape, driven by innovative products, expanding end-markets, and strengthening financial performance. The company continues to capitalize on trends in high-performance computing and artificial intelligence, underpinned by a commitment to R&D; and ecosystem partnerships.

Investment Overview

Advanced Micro Devices, Inc. (AMD) Investment Update

Recent Performance

AMD's financial results for 2023 reflected a challenging year, with revenue declining 3.9% to \$22.7 billion following a robust 43.6% gain in 2022. EBITDA fell to \$4.1 billion (18.3% margin), down from \$5.5 billion in 2022, as the company navigated softer demand in PCs and a competitive server market. EPS dropped to \$0.53, reflecting both margin pressure and increased operating expenses.

Growth Drivers

Looking ahead, AMD is poised to benefit from several secular trends. The company's investments in AI and high-performance computing are driving strong demand for its EPYC server processors and adaptive computing solutions. Revenue is projected to rebound with a 13.7% increase in 2024, accelerating further in 2025 (+34.3%) as new product cycles and AI tailwinds take hold. Contribution margins are expected to improve steadily, reaching

52.5% by 2027, indicating better operating leverage and product mix.

Relative Position

Compared to peers, AMD's historical EBITDA margins trail Nvidia, but outpace Intel in recent years. While AMD's EV/EBITDA multiples remain elevated (38–58x for 2023–2025) relative to Intel, they are below Nvidia's peak multiples, reflecting investor optimism about AI-driven growth but also pricing in execution risk.

Outlook

Consensus estimates call for a 20.5% revenue CAGR through 2027, with EBITDA margins recovering to over 40%. EPS is expected to more than triple from 2023 to 2027. Despite a premium valuation, AMD's exposure to AI, data centers, and custom silicon positions it for outsized growth in the coming years. Continued margin expansion and successful execution in AI hardware are key to justifying current multiples and sustaining outperformance.

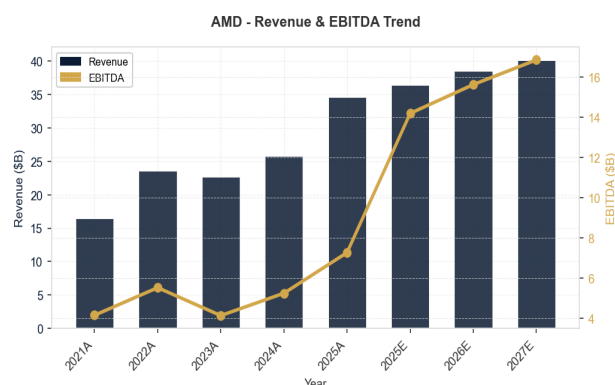
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$34.6B
- EBITDA (2025A): \$7.3B
- Revenue Growth (2025A): 34.3%



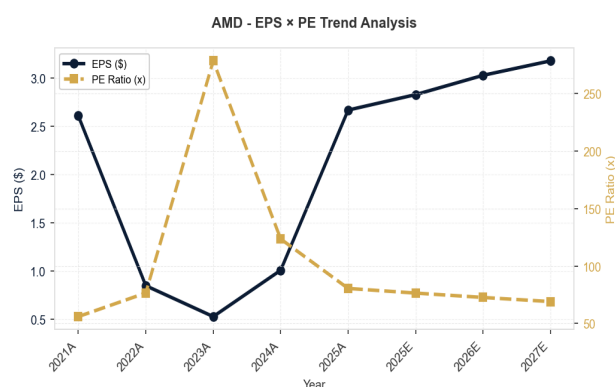
Source: Company Filings

Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 2.67
- PE Ratio (2025A): 80.54



Source: Company Filings

Valuation Analysis

Valuation Overview: Advanced Micro Devices, Inc. (AMD)

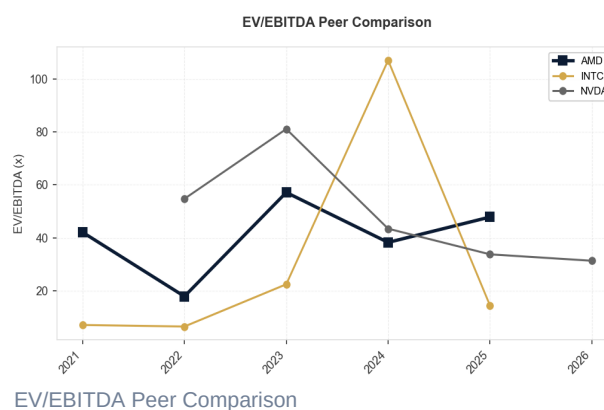
AMD is currently trading at elevated valuation multiples, reflecting strong investor optimism about its future growth prospects, especially in AI and data center markets. The company's 2024E P/E ratio is 123.6x, which is expected to decline to 69.1x by 2027E as earnings grow, but still remains high relative to historical norms and peers. EV/EBITDA multiples also highlight AMD's premium: the 2024E EV/EBITDA is 38.3x, forecasted to increase to 47.8x in 2025E, before moderating.

Compared to peers, AMD's valuation is mixed. Intel (INTC) has historically traded at much lower EV/EBITDA multiples (e.g., 14.5x in 2025E), reflecting its slower growth and recent execution challenges. Nvidia (NVDA), a direct competitor in high-growth AI and graphics, trades at 33.8x EV/EBITDA in 2025E and 31.4x in 2026E, suggesting AMD is priced at a premium even to NVDA in the near term. This premium may be justified by AMD's expected revenue CAGR of 20.5% through 2027, robust margin expansion (EBITDA margin rising from 18.3% in 2023 to 42.0% in 2027E), and strong earnings growth.

However, with a 2025E P/E of 76.5x and EV/EBITDA of 47.8x, AMD is trading well above semiconductor sector averages, which typically range from 15-25x P/E and 10-20x EV/EBITDA for mature players. This suggests much of the anticipated growth is already priced in. While AMD has strong fundamentals and growth drivers, the current valuation leaves limited margin for error. Fair value assessment suggests the stock may be fully valued to slightly overvalued at current levels, unless AMD can consistently outperform high market expectations.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Advanced Micro Devices (AMD) has remained in the spotlight amid a strong rally in semiconductor stocks, bolstered by upbeat sector sentiment and favorable peer earnings. Over the past week, large-cap chip stocks, including AMD, Intel, and Texas Instruments, outperformed markets, driven by robust earnings reports—particularly Intel's—which catalyzed optimism for AMD's own upcoming results. Intel's data center revenue growth and commentary on rising CPU demand (with CPU-to-GPU ratios moving toward 1:1–1:2) bode well for AMD, which is well positioned to benefit from this structural shift, especially in AI-driven and data center

applications.

Financially, AMD's revenue is projected to accelerate sharply from 2024 onward, with forecasts indicating a compound annual growth rate (CAGR) of 20.5% through 2027. Contribution and EBITDA margins are also expected to expand, reaching over 50% and 40%, respectively, by 2027, signaling improving profitability. However, AMD's valuation remains elevated: its 2024E EV/EBITDA multiple is 38x, notably higher than Intel's but below Nvidia's peak multiples. This premium reflects high expectations for AMD's growth in AI and server markets, but also signals vulnerability if execution or market momentum slips.

Investor sentiment is broadly bullish despite some divergence across platforms. Social media buzz is high, particularly on X.com, though Reddit enthusiasm has cooled. Institutional investors are taking notice—AEGON Asset Management recently raised its AMD stake by 6.6%—suggesting confidence in the company's medium-term potential.

Investment implications: AMD appears well-placed to capture ongoing AI and data center growth, supported by industry tailwinds and improving financials. However, its lofty valuation demands continued outperformance, and any missteps could trigger sharp corrections. Investors should weigh the balance between growth prospects and valuation risk when considering AMD at current levels.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)
- EBITDA: \$11.9B - \$21.8B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- Earnings (2026-04-26): Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-25): Why I'm Still Very Bullish Into AMD Earnings
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-24): What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Acquisition (2026-04-26): AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD
- Impact: HIGH, Probability: 40%

Events to Monitor

- Why AMD Stock Surged Today (2026-04-24)
- AMD's Ryzen 9950X3D2 Launch Impact: What's Ahead in Gaming Next? (2026-04-23)
- AMD: Why I'm Going From Very Bearish To Confidently Bullish (2026-04-23)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ Intel, Advanced Micro, And Texas Instruments Are Among Top 10 Large-Cap Gainers Last Week (April 20-April 24): Are the Others in Your Portfolio?
- ✓ Why I'm Still Very Bullish Into AMD Earnings
- ✓ What to Watch in NVDA, AMD, AVGO & Other AI Chips After INTC Rally

- ✓ AMD Gains After DA Davidson Upgrade
- ✓ DA Davidson Upgrades AMD to Buy With a \$375 Price Target: The Big Winner of Intel Earnings?
- ✓ KG Eyes INTC Rally, AMD & TSLA Impact into Mag 7 Earnings Week Ahead
- ✓ Here's Why Advanced Micro Devices (AMD) is a Strong Momentum Stock
- ✓ AMD: You Haven't Seen Anything Yet (Earnings Preview)
- ✓ INTC, NVDA and AMD Forecasts – Chips Looking to Rally
- ✓ AMD Stock Tests Resistance As Intel Beat Sparks Sector Rally
- ✓ Advanced Micro Devices Stock Gets Upgraded to Buy. Why It's the Big Winner of Intel Earnings.
- ✓ Intel Just Gifted AMD Its Strongest Buy Signal Yet
- ✓ AMD stock surges as demand drives price upgrades
- ✓ AMD: Agentic AI Era Needs More CPU Chips
- ✓ AMD, Arm Stocks Ride Intel's Coattails After Blowout Q1 Report
- ✓ Prediction: This Artificial Intelligence (AI) Growth Stock Will Be the Nasdaq's Best Performer by Year-End
- ✓ Micron Soars 6%, AMD Rallies 4%, Broadcom Climbs 4% on Reignited AI Chip Demand

Risk Factors:

- AEGON ASSET MANAGEMENT UK Plc Raises Stake in Advanced Micro Devices, Inc. \$AMD

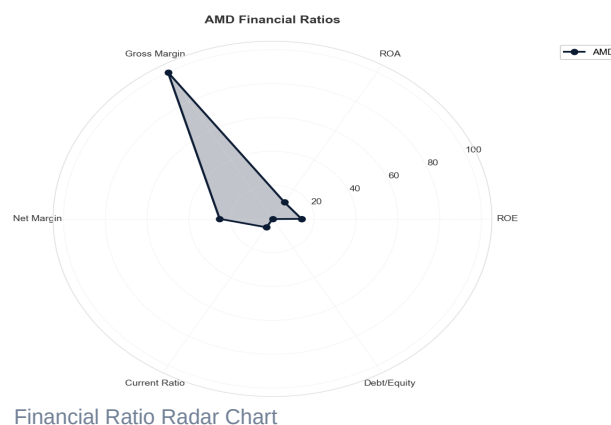
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Advanced Micro Devices, Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Advanced Micro Devices, Inc. (AMD) operates in a highly competitive semiconductor landscape, primarily against Intel (INTC) and NVIDIA (NVDA). A review of financial and operational metrics from 2021 to 2027 reveals AMD's

strong revenue growth, improving margins, and evolving market positioning.

AMD's revenue has grown at a robust CAGR of 20.5%, outpacing Intel's relatively stagnant top-line growth and rivalling NVIDIA's impressive momentum. While AMD experienced a slight revenue contraction in 2023 (-3.9%), forecasts indicate a return to double-digit growth in 2024 and 2025, reflecting strengthening demand across its CPU, GPU, and data center product lines.

In terms of profitability, AMD's EBITDA margin has trailed NVIDIA and Intel in recent years, dipping to 18.3% in 2023 before recovering to 21% in 2025 and projected to exceed 40% by 2027, suggesting significant operating leverage from scale and product mix improvements. This trend narrows the historical profitability gap with NVIDIA, whose margins have traditionally been industry-leading due to dominance in high-value GPU segments.

AMD's contribution margin and SG&A; ratio signal prudent cost management, with contribution margin rising steadily and SG&A; as a percentage of revenue stabilizing around 10-12%. Intel, facing execution challenges and higher fixed costs, has seen greater margin compression and volatility, while NVIDIA's superior margins reflect its premium market positioning.

Valuation metrics, particularly EV/EBITDA, show AMD trading at higher multiples than Intel but below NVIDIA's peak levels. This reflects investor optimism about AMD's growth prospects but also acknowledges the company's transition phase toward higher profitability.

Overall, AMD is successfully closing the gap with its larger peers, leveraging innovation and operational discipline. While NVIDIA remains the profitability benchmark and Intel the scale incumbent, AMD's accelerating revenue growth and margin expansion position it as a formidable challenger in the semiconductor industry.

Risk Factors

- **High Valuation Risk:** AMD's PE ratio (2023: 278.6x, 2024E: 123.6x) and EV/EBITDA multiples (2023: 57.1x, 2025E: 47.8x) are significantly above industry peers, indicating overvaluation risk and potential for multiple contraction if growth expectations are not met.
- **Profitability Pressure:** EBITDA margin declined from 25.3% (2021) to 18.3% (2023) and only modestly recovers to 21.0% (2025E), lagging behind Nvidia's margin improvement, highlighting ongoing cost and pricing pressure.
- **Earnings Volatility:** EPS dropped sharply from \$2.61 (2021) to \$0.53 (2023), indicating earnings volatility and heightened sensitivity to operational or macroeconomic disruptions.
- **Intense Competition:** Peer EBITDA data shows Nvidia's EBITDA outpacing AMD dramatically by 2025 (\$86.1B vs. \$7.3B), and Intel's EBITDA recovering strongly, reflecting a highly competitive landscape that could impact AMD's market share and pricing power.
- **Execution & Growth Risk:** After a revenue decline in 2023 (-3.9%), AMD's forecasted double-digit revenue growth (2024: 13.7%, 2025: 34.3%) is aggressive and may be difficult to achieve amid industry cyclicality, potential supply chain issues, and high R&D/S&A; expenses.

Key Takeaways

- ✓ **Revenue Growth:** Advanced Micro Devices, Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Advanced Micro Devices, Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Advanced Micro Devices, Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Advanced Micro Devices, Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	N/A	43.6%	-3.9%	13.7%	34.3%
EPS	2.61	0.85	0.53	1.01	2.67
PE Ratio	56.06	76.60	278.59	123.59	80.54

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
Interest Coverage	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.02	2.36	2.51	2.62	2.85
CF to Debt Ratio	5.33	1.25	0.56	1.37	1.72

DISCLAIMER

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Data Source: FMP, Company Filings, AI4Finance Estimates

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